

GAME CHANGER AND
KOTWA HIGH STUDENTS

JUNE 2020 : ACCOUNTING
PAPER 3 SOLUTIONS

QUESTION 1**1a. Calculation of cost per unit** (working)

	MARGINAL	ABSORPTION
Direct materials	18	18
Direct labour	9	9
Variable production overheads	3	3
Fixed production overheads	_____	1.2
totals	30	31.2

(i). Marginal income statement for the years ended 31 December 2016 and 2017

	2016	2016	2017	2017
Revenue		810000		900000
Less Marginal cost				
Opening inventory	-----		135000	
Add Production	540000		390000	
	540000		525000	
Less Closing inventory	135000		75000	
	405000		450000	
Add variable selling expenses	81000		90000	
Marginal cost		486000		540000
Contribution		324000		360000
Less Fixed Cost				
Production overheads	18000		18000	
Selling and administration	45000	63000	45000	63000
Net Profit		261000		297000

(ii). Absorption cost statement for the years ending 31 December 2016 and 2017

	2016	2016	2017	2017
Revenue		810000		900000
Less Cost of sales				
Opening inventory	-----		140400	
Add Production	561600		405600	
	561600		546000	
Less Closing inventory	140400		78000	
Cost of sales		421200		468000
Gross Profit		388800		432000
Less Expenses				
Fixed Selling and administration	45000		45000	
Variable selling expenses	81000	126000	90000	135000
		262800		297000
Add over absorption		3600		-----
Less under absorption		-----		2400
Net Profit		266400		294600

(b). Reconciliation of marginal profit to Absorption profit.

	2016	2017
Absorption profit	266400	294400
Add opening inventory	-----	5400
	266400	300000
Less Closing inventory	5400	3000
Marginal Profit	261000	297000

C. Net profit differentials are wholly a result of fixed production overheads absorbed in absorption inventories that are brought into the current financial period and carried forward to the next

financial period as part of product cost under absorption costing but such cost are treated as period cost under marginal costing

Question 2

2a.i)

Realisation Account

Furniture	150000	Bank: Furniture	200000
Motor Vehicle	250000	Motor Vehicle	300000
Machinery	400000	Machinery	450000
Inventory	35000	Inventory	40000
Trade Receivables	10000	Trade Receivables	9000
Dissolution Expenses	8000	Discount Received	2000
Capital-Soda	184000	Capital-Soda (machinery)	120000
-Cream	184000	-Cream (motor vehicle)	100000
	1221000		1221000

(ii).

Capital Account

	Cream	Soda		Cream	Soda
Realisation-Machinery	-----	120000	Balance b/d	325000	425000
-Motor Vehicle	100000	-----	Current account	25000	30000
Bank	434000	519000	Realisation	184000	184000
	534000	639000		534000	639000

(ii).

Bank Account

Balance b/d	5000	Trade Payables	43000
Trade Receivables	9000	Realisation-dissolution expenses	8000
Realisation -proceeds	999000	Capital-Cream	434000
		-Soda	519000
	1004000		1004000

1. (b).

-Retirement or death of a partner

- Disagreements
- Insolvency
- Sale of partnership to other business
- Unlawful act by the partnership

QUESTION 3

Departmental income statement for the year ended 31 December 2017

	BUTCHERY		BAKERY		GROCERY	
Revenue		1100000		800000		900000
Less cost of sales						
Opening inventory	3690000		185000		316000	
Add purchases	550000		470000		540000	
Cost of goods available	919000		655000		856000	
Less closing inventory	400000		300000		100000	
Cost of sales		519000		355000		756000
Gross profit		581000		445000		144000
Add Other incomes						
Commission earned		6000		6000		6000
Gross income		587000		451000		150000
Less Expenses						
Advertising	5000		5000		5000	
General expense	25000		25000		25000	
Salaries	7000		7000		7000	
Increase in provision for bad debts	1000		1000		1000	
Heating and lighting	4000		4000		4000	
Commission paid [commission% ÷100+commission % × net profit before commision]	49000		35000		9000	
Loan interest	-----		5000		-----	
Depreciation-Buildings	3000		6000		6000	
-Equipment	-----		5000		-----	
		94000		97000		61000
Net profit		493000		354000		89000

(b.i).Gross profit margin = $\frac{\text{Gross profit} \times 100}{\text{Revenue}}$ $\frac{[581000 \times 100]}{1100000} = 52.8\%$

ii.Net Profit margin = $\frac{\text{Net Profit} \times 100}{\text{Revenue}}$ $\frac{[493000 \times 100]}{1100000} = 44.8\%$

iii. Total expenses to Sales ratio = $\frac{\text{Total expenses} \times 100}{\text{Sales}}$ $\frac{[94000 \times 100]}{1100000} = 8.5\%$

(c).-The profit making departments may be dependent on the loss making department therefore closing the department may reduce the profits of the dependent departments. Under such circumstance it is rational having the loss making department.
 -If the loss making department is generating some positive gross profit, elimination of such department would reduce overall profitability of the business.
 -When the loss incurred by the business is interpreted as temporary it might be rational to continue having the department because of its potential future profits.

QUESTION 4

Manufacturing account for the year ended 31 July 2015

Opening inventory of raw material		50000
Add Purchases	700000	
Add Carriage inwards	15000	
	715000	
Less Returns outwards	35000	680000
		730000
Less closing inventory		15000
Cost of raw material consumed		715000
Add Direct cost		
Manufacturing wages	730000	
Royalties	31200	
		104200
Prime cost		819200
Add Factory Overheads		
Heating and lighting	10000	
Wages of factory supervisors	20000	
Factory insurance [2600+200]	2800	
Depreciation -Plant	18000	508000
		870000
Add Opening stock of work in progress		160000
		1030000
Less Closing inventory of work in progress		20000
Cost of production		1010000
Add Manufacturing profit [20%*1010000]		202000
Transfer Price		1212000

(ii).Income statement for the year ended 31 July 2015

Revenue		3200000
Less returns inwards		25000
Turnover		3175000
Less cost of sales		
Opening inventory	140000	
Add Transfer price	1212000	
Add Purchases [250000-20000]	230000	
	1582000	
Less closing inventory	45000	
Cost of sales		1537000
Gross profit		1688000
Add Other Incomes		
Rent received		16000
Gross income		1654000
Less expenses		
Carriage outwards [7200+350]	7550	
Heating and lighting	18000	
Administration expenses	321260	
General expenses [42990-10260]	32730	
Provision for bad debt	100	
Delivery vehicle expenses	142000	
Depreciation-Delivery Vehicles [25%*420000]	105000	626640
		1027360
Less Financial Charges		
Bank charges	500	
Interest on loan	2000	
		2500
Profit after financial charges		1024860
Add Manufacturing profit	202000	
Less unrealised profit	2750	199250
Profit for the year		1224110

(iii) **Statement of Financial position extract as at 31 July 2015**

<u>Current Assets</u>			
Inventory –Raw Material	15000		
-Work in progress	20000		
-Finished goods	45000		
		80000	
Trade receivables	140000		
Less provision for Doubtful debts	500		
		139500	
Prepayments (insurance)		10260	
		229760	

(b).To ensure that the realisation concept, IAS2 and the prudence concept are complied with.